



**East African Cables**  
*Total peace of mind*  
(In Administration)

**INTERIM FINANCIAL STATEMENTS**  
**UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30<sup>TH</sup> JUNE 2025**

**Condensed Statement of Comprehensive Income for the six months ended 30 June 2025**

|                                                    | <b>Group<br/>30-Jun-25<br/>KShs'000</b> | <b>Group<br/>30-Jun-24<br/>KShs'000</b> | <b>Company<br/>30-Jun-25<br/>KShs'000</b> | <b>Company<br/>30-Jun-24<br/>KShs'000</b> |
|----------------------------------------------------|-----------------------------------------|-----------------------------------------|-------------------------------------------|-------------------------------------------|
| Turnover                                           | 1,231,614                               | 1,334,075                               | 1,175,081                                 | 1,247,429                                 |
| Cost of sales                                      | (852,642)                               | (963,658)                               | (805,599)                                 | (894,751)                                 |
| <b>Gross profit</b>                                | <b>378,972</b>                          | <b>370,417</b>                          | <b>369,482</b>                            | <b>352,678</b>                            |
| Operating expenses                                 | (295,361)                               | (316,311)                               | (257,882)                                 | (258,020)                                 |
| <b>(Loss) /profit from operations</b>              | <b>83,611</b>                           | <b>54,106</b>                           | <b>111,600</b>                            | <b>94,658</b>                             |
| Impairment write-back/ (losses)                    | (12,000)                                | (11,092)                                | (12,000)                                  | (11,966)                                  |
| Depreciation and amortization                      | (94,105)                                | (98,358)                                | (73,777)                                  | (73,897)                                  |
| <b>(Loss) / profit from operating activities</b>   | <b>(22,494)</b>                         | <b>(55,344)</b>                         | <b>25,823</b>                             | <b>8,795</b>                              |
| Interest expense                                   | (261,101)                               | (226,294)                               | (171,953)                                 | (182,635)                                 |
| Net exchange losses                                | -                                       | (111,491)                               | -                                         | (21,009)                                  |
| <b>Loss before tax</b>                             | <b>(283,595)</b>                        | <b>(393,129)</b>                        | <b>(146,130)</b>                          | <b>(194,849)</b>                          |
| Income tax credit                                  | 93,444                                  | 117,939                                 | 43,839                                    | 58,454                                    |
| <b>Loss for the period</b>                         | <b>(190,151)</b>                        | <b>(275,190)</b>                        | <b>(102,291)</b>                          | <b>(136,395)</b>                          |
| <b>Loss from operations attributable to:</b>       |                                         |                                         |                                           |                                           |
| Equity holders of parent company                   | (133,435)                               | (207,180)                               | (102,291)                                 | (136,395)                                 |
| Non-controlling interest                           | (56,716)                                | (68,010)                                | -                                         | -                                         |
| <b>Loss for the period</b>                         | <b>(190,151)</b>                        | <b>(275,190)</b>                        | <b>(102,291)</b>                          | <b>(136,395)</b>                          |
| <b>Basic and Diluted Earnings per share (KShs)</b> | <b>(0.53)</b>                           | <b>(0.82)</b>                           |                                           |                                           |

**Condensed Statement of Financial Position as at 30 June 2025**

|                                     | <b>Group<br/>30-Jun-25<br/>KShs'000</b> | <b>Group<br/>30-Jun-24<br/>KShs'000</b> | <b>Company<br/>30-Jun-25<br/>KShs'000</b> | <b>Company<br/>30-Jun-24<br/>KShs'000</b> |
|-------------------------------------|-----------------------------------------|-----------------------------------------|-------------------------------------------|-------------------------------------------|
| <b>Assets</b>                       |                                         |                                         |                                           |                                           |
| Non-current assets                  | 4,180,364                               | 4,282,561                               | 2,792,509                                 | 2,842,401                                 |
| Current assets                      | 856,649                                 | 689,279                                 | 804,955                                   | 759,092                                   |
| <b>Total assets</b>                 | <b>5,037,013</b>                        | <b>4,971,840</b>                        | <b>3,597,463</b>                          | <b>3,601,493</b>                          |
| <b>Equity and liabilities</b>       |                                         |                                         |                                           |                                           |
| Share Capital                       | 126,563                                 | 126,563                                 | 126,563                                   | 126,563                                   |
| Reserves                            | 123,739                                 | 279,452                                 | [16,493]                                  | 141,304                                   |
| Non-controlling interest            | (335,396)                               | (194,558)                               | -                                         | -                                         |
| Non-current liabilities             | 1,610,042                               | 1,473,453                               | 1,377,293                                 | 1,253,540                                 |
| Current liabilities                 | 3,512,066                               | 3,286,931                               | 2,110,102                                 | 2,080,086                                 |
| <b>Total equity and liabilities</b> | <b>5,037,013</b>                        | <b>4,971,840</b>                        | <b>3,597,463</b>                          | <b>3,601,493</b>                          |

**Condensed Statement of Cash flows for the six months ended 30 June 2025**

|                                                  | <b>Group<br/>30-Jun-25<br/>KShs'000</b> | <b>Group<br/>30-Jun-24<br/>KShs'000</b> | <b>Company<br/>30-Jun-25<br/>KShs'000</b> | <b>Company<br/>30-Jun-24<br/>KShs'000</b> |
|--------------------------------------------------|-----------------------------------------|-----------------------------------------|-------------------------------------------|-------------------------------------------|
| Cash flows generated from operations             | <b>338,349</b>                          | <b>255,876</b>                          | <b>49,849</b>                             | <b>107,291</b>                            |
| Cash flows (used in) / from investing activities | -                                       | -                                       | -                                         | -                                         |
| Cash used in financing activities                | (304,475)                               | (286,921)                               | (15,882)                                  | (67,456)                                  |
| Increase in cash and cash equivalents            | <b>33,873</b>                           | <b>(31,045)</b>                         | <b>33,967</b>                             | <b>39,835</b>                             |
| Cash and cash equivalent at 1 January            | 42,720                                  | 105,259                                 | 42,356                                    | 33,524                                    |
| <b>Cash and cash equivalent at 30 June</b>       | <b>76,593</b>                           | <b>74,214</b>                           | <b>76,323</b>                             | <b>73,360</b>                             |

**Condensed Statement of Changes in Equity for the six months ended 30 June 2025**

|                                                        | <b>Group<br/>30-Jun-25<br/>KShs'000</b> | <b>Group<br/>30-Jun-24<br/>KShs'000</b> | <b>Company<br/>30-Jun-25<br/>KShs'000</b> | <b>Company<br/>30-Jun-24<br/>KShs'000</b> |
|--------------------------------------------------------|-----------------------------------------|-----------------------------------------|-------------------------------------------|-------------------------------------------|
| Share capital                                          | 126,563                                 | 126,563                                 | 126,563                                   | 126,563                                   |
| Share premium                                          | 545                                     | 545                                     | 545                                       | 545                                       |
| Revaluation reserve                                    | 2,023,209                               | 2,023,209                               | 1,390,868                                 | 1,390,868                                 |
| Revenue reserve                                        | (1,843,046)                             | (1,667,965)                             | (1,407,906)                               | (1,250,108)                               |
| Exchange reserve                                       | (56,969)                                | (76,337)                                | -                                         | -                                         |
| Total equity attributable to equity holders of company | 250,301                                 | 406,014                                 | 110,069                                   | 267,866                                   |
| Non-controlling interest                               | (335,396)                               | (194,558)                               | -                                         | -                                         |
| <b>Total Equity</b>                                    | <b>(85,095)</b>                         | <b>211,456</b>                          | <b>110,069</b>                            | <b>267,866</b>                            |

**Key Highlights**

The Group and Company recorded an improved performance compared to the previous period, having reduced net losses by 31%. Despite a drop in revenue by 8%, Earnings Before Income Tax Depreciation and Amortization (EBITDA) improved by 53% compared to the same period in the previous year supported by cost containment, leveraging on the entrenched continuous improvement practices.

The Tanzania subsidiary continued to experience working capital constraints, significantly affecting its bottom line, and negatively impacting the Group's consolidated performance. The transaction to divest from the subsidiary has taken long but it is still in progress pending consent from shareholders and the regulator.

**Appointment of the Administrator**

On 19<sup>th</sup> June 2025, the main creditor (Equity Bank Kenya Limited) appointed an Administrator to oversee operations of the business and to, as far as possible, improve the outcomes of all creditors. The Administrator has initiated an investor process which aims to address the financing issue.

The business continues to run as a going-concern, serving its valued customers across the region. We extend our appreciation to all our partners for their continued support towards this local brand.

**Outlook - Group**

Despite the setbacks owing to the appointment of the administrator by the main creditor, the company is still focused on growing the market and implementing cost-efficiency initiatives to improve performance.

**Dividend**

The company, being in administration, is not eligible to make dividend payouts.

**By Order of the Board**

**Virginia Ndunge**  
**Company Secretary**  
**Nairobi,**  
**29<sup>th</sup> August 2025**